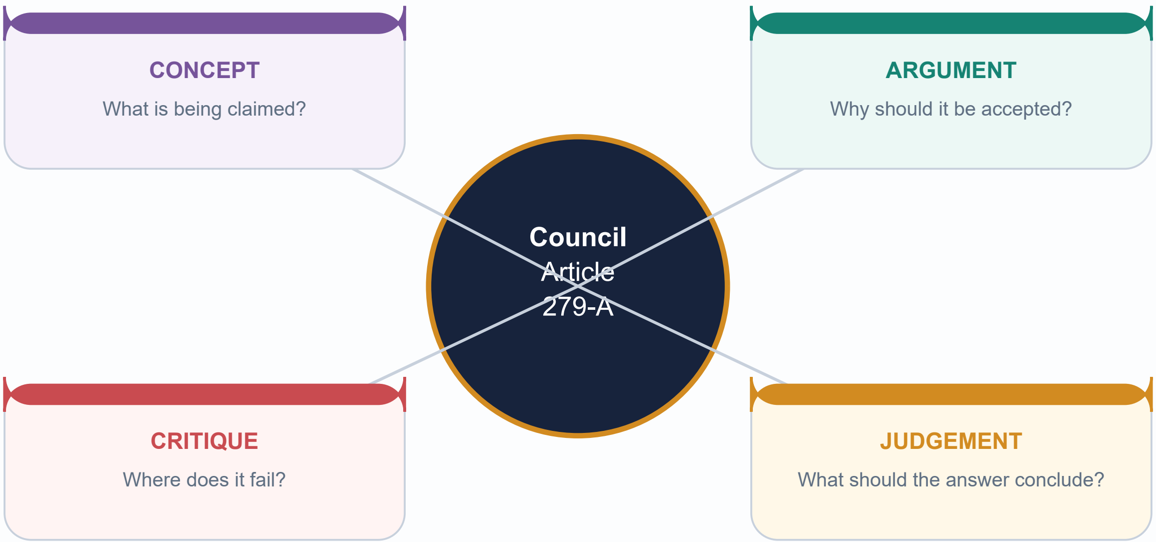
UPSC GS-II/III POLITY

GST Council (Article 279-A)

Integrated Basic + Advanced Course
9 deep-learning modules | 101st Amendment to GST 2.0
Composition, voting maths, functions, case law, institutional tensions and Mains frameworks
Prepared from the verified Polity knowledge base (Laxmikanth Ch. 46) and official GST Council updates



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

1. Article 279-A - Establishment of the GST Council

GS-II / GS-III
Polity - Cooperative Federalism

NEWS TRIGGER

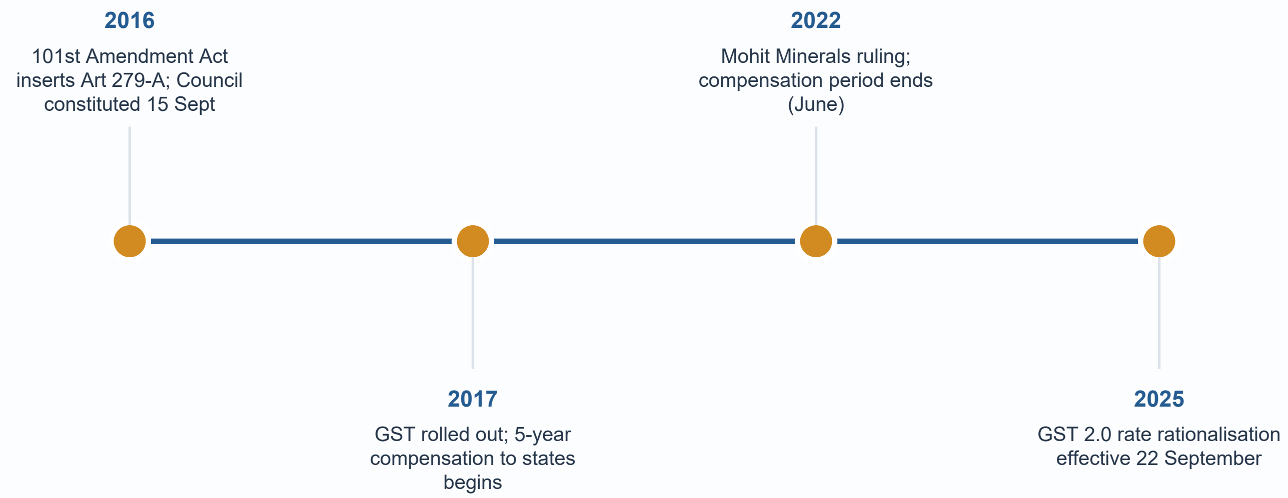
GST 2.0's rate rationalisation in September 2025 renewed attention on the constitutional body that designs India's single indirect-tax regime.

INTRO & ORIGIN

The 101st Amendment Act, 2016 introduced GST and inserted Article 279-A, empowering the President to constitute the GST Council by order - issued on 15 September 2016.

It is a constitutional federal recommendatory forum central to GST design - a model of cooperative federalism whose recommendations require legal implementation and are not independently binding commands.

GST COUNCIL: KEY MILESTONES



KEY DATA

Point	Detail
Constitutional basis	Article 279-A, inserted by the 101st Amendment Act, 2016
Constituted by	Presidential order, issued 15 September 2016
Secretariat	New Delhi
Ex-officio Secretary	Union Revenue Secretary
Permanent invitee (non-voting)	CBIC / CBEC chairperson

STATIC THEORY

• The GST Council is a constitutional body, not a statutory one - it exists because Article 279-A itself requires the President to constitute it.

• Its recommendations require legislative or executive implementation; they are a recommendatory forum, not an independently binding authority.

• Locating the Secretariat and ex-officio Secretary at the Union level reflects the Centre's administrative convening role, balanced by the states' voting weight.

MEMORY HOOK

101ST AMENDMENT (2016) -> ART 279-A -> COUNCIL ORDER 15 SEPT 2016

MUST-KNOW FACTS

1. GST and Article 279-A were introduced by the 101st Amendment Act, 2016.

2. The GST Council was constituted by a Presidential order issued on 15 September 2016.

3. Its Secretariat is at New Delhi; the Union Revenue Secretary is its ex-officio Secretary.

4. The CBIC/CBEC chairperson is a permanent, non-voting invitee.

UPSC TRAPS

WRONG: The GST Council is a statutory body created by an ordinary Act of Parliament.

CORRECT: It is a constitutional body under Article 279-A, inserted by the 101st Amendment Act.

WRONG: The GST Council's recommendations are self-executing legal commands.

CORRECT: They require legislative/executive implementation - a recommendatory forum, not a binding command.

MAINS ANGLE

Examine how Article 279-A's design makes the GST Council a laboratory of cooperative federalism rather than a purely executive body.

STUDY LINK

Polity -> 101st Amendment Act -> GST | Polity -> Cooperative Federalism

HIGH

2. Composition of the GST Council

GS-II / GS-III
Polity - Composition

NEWS TRIGGER

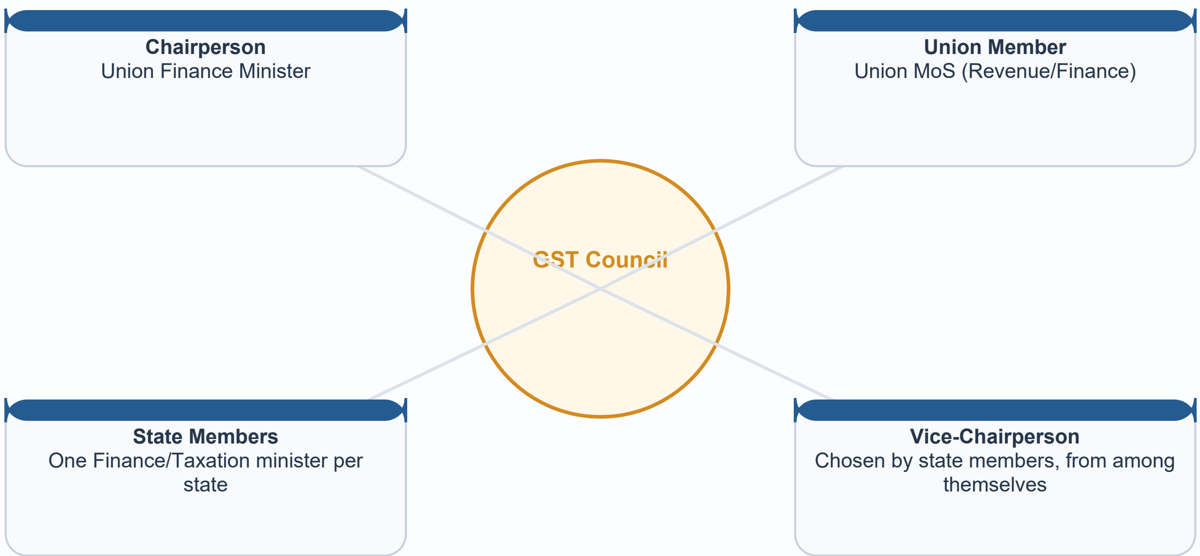
Every rate-change debate begins with who sits on the Council and how a Vice-Chairperson representing the states is chosen.

INTRO & ORIGIN

The Union Finance Minister chairs the Council; the Union Minister of State (Revenue/Finance) and one minister nominated by each state are its members.

The state members choose one among themselves as Vice-Chairperson, and also decide his or her term.

WHO SITS ON THE GST COUNCIL



KEY DATA

Member	Role
Union Finance Minister	Chairperson
Union MoS (Revenue/Finance)	Member
State Minister (Finance/Taxation or nominated), each state	Member
Vice-Chairperson	One state member, chosen by state members themselves

STATIC THEORY

• The Chairperson is always the Union Finance Minister - a fixed constitutional design, not a rotating position.

• Every state gets exactly one voting member, ensuring uniform state representation regardless of population or size.

• Letting states choose their own Vice-Chairperson (and decide the term) is a deliberate cooperative-federalism safeguard.

MEMORY HOOK

UNION FM CHAIRS | 1 MoS | 1 MINISTER PER STATE | STATES PICK THEIR OWN VICE-CHAIR

MUST-KNOW FACTS

1. The Union Finance Minister is the Chairperson of the GST Council.

2. Each state nominates one Finance/Taxation minister as a member.

3. The Vice-Chairperson is chosen by the state members from among themselves.

UPSC TRAPS

WRONG: The Prime Minister chairs the GST Council.

CORRECT: The Union Finance Minister is the Chairperson.

WRONG: The Centre nominates the Vice-Chairperson of the GST Council.

CORRECT: The state members choose the Vice-Chairperson from among themselves.

MAINS ANGLE

The GST Council's composition - one Union chair plus one member per state, with a state-chosen Vice-Chair - is designed as an institutional counterweight to Union dominance. Examine.

STUDY LINK

Polity -> GST Council -> Composition -> Cooperative Federalism

HIGH

3. Voting Maths: Quorum, Majority & Vote-Weightage

GS-II / GS-III
Polity - Voting Design

NEWS TRIGGER

GST rate decisions are only as legitimate as the weighted-voting formula that produces them - a frequent Prelims discriminator.

INTRO & ORIGIN

Decisions require a majority of at least three-fourths of the weighted votes of members present and voting, with the Centre's vote weighted at one-third and all states combined at two-thirds.

Quorum for a meeting is one-half of the total membership.

VOTE WEIGHTAGE IN THE GST COUNCIL (%)

Decisions need 75% of weighted votes present & voting - the Centre alone cannot reach this.

KEY DATA

Rule	Value
Quorum	½ of total members
Decision majority	≥ 3/4 of weighted votes of members present & voting
Centre's weight	1/3 of votes cast
All states combined	2/3 of votes cast

STATIC THEORY

• The 3/4 weighted-majority threshold, combined with the 1/3-2/3 split, means the Centre alone can block a resolution but cannot pass one without state support.

• Acts of the Council are not invalidated merely by vacancies, defects in appointment, or non-material procedural irregularities - a safeguard against technical challenges.

• This voting design is frequently cited as the constitutional model for 'cooperative federalism' in Indian indirect taxation.

MEMORY HOOK

QUORUM 1/2 | DECISION 3/4 | CENTRE 1/3 | STATES 2/3

MUST-KNOW FACTS

1. Quorum for a GST Council meeting is half of its total members.

2. A decision needs at least three-fourths of the weighted votes of members present and voting.

3. The Centre's vote carries one-third weight; all states together carry two-thirds.

4. Council acts are not invalidated by vacancies or non-material procedural defects.

UPSC TRAPS

WRONG: GST Council decisions need only a simple majority.

CORRECT: They need at least three-fourths of the weighted votes of members present and voting.

WRONG: The Centre's vote weight is one-half.

CORRECT: It is one-third; all states together carry two-thirds.

WRONG: Quorum for the GST Council is one-third of members.

CORRECT: Quorum is one-half of members; one-third refers to the Centre's vote weight, a different concept.

MAINS ANGLE

Analyse the GST Council's weighted-voting design as a constitutional mechanism that neither the Centre nor the states can dominate alone.

STUDY LINK

Polity -> GST Council -> Voting Design -> Cooperative Federalism

HIGH

4. Design Insight: Neither Centre Nor States Dominate Alone

GS-II / GS-III
Polity - Federal Design

NEWS TRIGGER

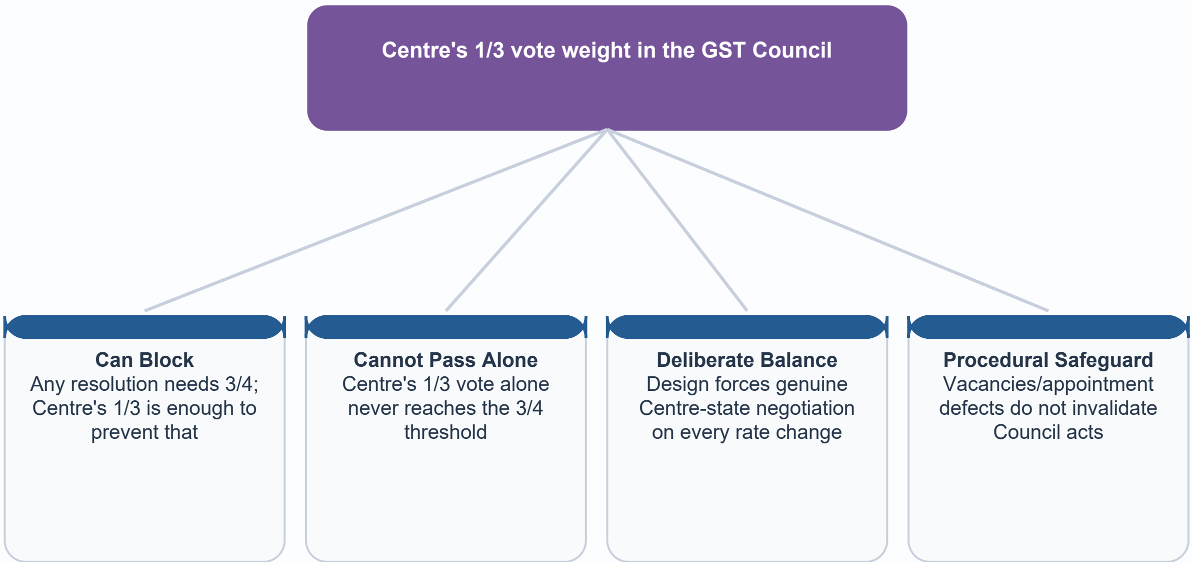
Coalition dynamics among states have repeatedly tested whether the Council's voting formula genuinely prevents unilateral Union control over GST.

INTRO & ORIGIN

The Centre alone (with its one-third weight) can block any resolution since three-fourths support is required, but it cannot pass anything without states - a deliberate federal balance.

This 'can block but cannot pass alone' logic is the Council's central constitutional design insight.

CAN THE CENTRE ALONE CONTROL GST DECISIONS?



STATIC THEORY

• This blocking-without-passing asymmetry is a textbook example of designed federal balance, distinct from simple majority rule.

• It forces genuine negotiation - neither the Union nor a coalition of a few states can impose a decision unilaterally.

• The procedural-irregularity safeguard (vacancies, appointment defects) protects the Council's functioning from technical litigation.

MEMORY HOOK

CENTRE CAN BLOCK (1/3) BUT CANNOT PASS ALONE (needs 3/4)

MUST-KNOW FACTS

1. The Centre's one-third vote weight is sufficient to block any GST Council resolution.

2. The Centre cannot pass a resolution without the support of states, since it alone cannot reach three-fourths.

3. Vacancies or defects in appointment do not invalidate the Council's acts.

UPSC TRAPS

WRONG: The Centre can unilaterally pass GST rate changes because of its Chairperson role.

CORRECT: The Chairperson role does not override the 3/4 weighted-majority requirement.

WRONG: A vacancy in the Council invalidates its past decisions.

CORRECT: Non-material procedural irregularities, including vacancies, do not invalidate Council acts.

MAINS ANGLE

'The GST Council's voting design lets the Centre block but never dictate.' Examine this claim with reference to Article 279-A's weighted-voting formula.

STUDY LINK

Polity -> GST Council -> Federal Balance | Polity -> Cooperative Federalism

HIGH

5. Functions of the GST Council

GS-II / GS-III
Polity - Functions

NEWS TRIGGER

Every GST Council meeting's agenda - rates, exemptions, thresholds, disputes - flows from a fixed list of constitutional functions.

INTRO & ORIGIN

The Council recommends to the Centre and states on taxes/cesses/surcharges subsumed in GST, goods/services taxed or exempt, model GST laws, place-of-supply principles, threshold turnover, rates and special provisions.

It must also set up a dispute-resolution mechanism and has recommended compensation to states for revenue loss.

KEY DATA

Function	Detail
Tax subsumption	Recommends which taxes/cesses/surcharges are subsumed in GST
Exemptions & rates	Goods/services taxed or exempt; rates incl. floor rates with bands; special disaster rates
Special category states	Special provisions for NE & hill/special-category states
Petroleum products	Recommends the date to bring crude, diesel, petrol, natural gas, ATF under GST (currently outside)
Dispute resolution	Must set up a Centre-state / state-state dispute-resolution mechanism
Compensation	Recommended 5-year compensation to states (GST Compensation Act, 2017)

WHAT THE GST COUNCIL RECOMMENDS

1. Tax base design
Taxes/cesses/surcharges subsumed; goods/services taxed or exempt

↓

2. Legal & procedural design
Model GST laws, place-of-supply principles, threshold turnover

↓

3. Rate design
Rates including floor rates with bands; special disaster rates; NE/hill-state provisions

↓

4. Petroleum inclusion date
Date to bring crude, diesel, petrol, natural gas, ATF under GST

↓

5. Dispute resolution & compensation
Sets up Centre-state/state-state dispute mechanism; recommended 5-year compensation

STATIC THEORY

• The Council's functions span the entire life-cycle of GST design - from what is taxed, to how disputes are resolved, to how revenue-loss compensation is structured.

• Petroleum crude, diesel, petrol, natural gas and ATF remain outside GST until the Council itself recommends a date - a live inclusion debate.

• The mandatory dispute-resolution mechanism reflects the anticipation that Centre-state or state-state GST disputes would need an institutional forum.

MEMORY HOOK

SUBSUME -> EXEMPT/RATE -> SPECIAL STATES -> PETROLEUM DATE -> DISPUTES & COMPENSATION

MUST-KNOW FACTS

1. The GST Council recommends which taxes/cesses/surcharges are subsumed in GST.

2. Petroleum crude, diesel, petrol, natural gas and ATF are outside GST until the Council recommends a date.

3. The Council must set up a dispute-resolution mechanism.

4. It recommended a 5-year compensation to states for revenue loss.

UPSC TRAPS

WRONG: Petrol and diesel are already taxed under GST.

CORRECT: They remain outside GST until the Council fixes an inclusion date.

WRONG: The GST Council has no role in resolving Centre-state tax disputes.

CORRECT: It must set up a dispute-resolution mechanism for such disputes.

MAINS ANGLE

Should petroleum products be brought under GST? Analyse the fiscal-federal trade-offs, referring to the GST Council's function of recommending an inclusion date.

STUDY LINK

Polity -> GST Council -> Functions | Economy -> Petroleum Taxation

HIGH

6. Petroleum Exclusion & the Compensation Story

GS-II / GS-III
Polity - Institutional Tension

NEWS TRIGGER

The end of the 5-year GST compensation window in 2022 sharpened states' demands over both petroleum inclusion and revenue-loss protection.

INTRO & ORIGIN

The GST Council recommended a 5-year compensation to states for revenue loss (GST Compensation Act, 2017), which ended in June 2022.

The compensation cess is now repurposed - servicing loans rather than funding fresh compensation - even as states continue to seek an extension.

COMPENSATION & PETROLEUM-EXCLUSION TIMELINE

2017
GST Compensation Act guarantees 5-year revenue-loss compensation

2022
Compensation period ends (June); states seek extension

2022-onwards
Compensation cess repurposed to service loans

Ongoing
Petroleum products remain outside GST, pending a Council-recommended date

KEY DATA

Issue	Status
Compensation guarantee	5 years, under the GST Compensation Act, 2017
Compensation end date	June 2022
Compensation cess today	Repurposed to service loans, not fresh compensation
Petroleum products	Outside GST; inclusion needs a Council-recommended date

STATIC THEORY

• The compensation guarantee was time-bound (5 years) by design, not open-ended - its 2022 expiry was therefore anticipated, even though states sought extension.

• Repurposing the compensation cess to service loans (rather than paying fresh compensation) illustrates how a temporary fiscal instrument can outlive its original purpose.

• Petroleum exclusion is best read as a bargaining chip in Centre-state fiscal negotiations, since bringing it under GST would affect both Union and state revenues.

MEMORY HOOK

COMPENSATION: 5 YEARS (2017 ACT) -> ENDED JUNE 2022 -> CESS NOW SERVICES LOANS

MUST-KNOW FACTS

1. The GST Compensation Act, 2017 guaranteed states compensation for revenue loss for 5 years.

2. This compensation period ended in June 2022.

3. The compensation cess is now used to service loans rather than pay fresh compensation.

UPSC TRAPS

WRONG: GST compensation to states continues indefinitely.

CORRECT: It was guaranteed for 5 years under the 2017 Act and ended in June 2022.

WRONG: The compensation cess has been abolished entirely.

CORRECT: It continues, but is now repurposed to service loans rather than fund fresh compensation.

MAINS ANGLE

Examine the states' fiscal-autonomy concerns following the end of GST compensation in 2022, and their link to the continuing exclusion of petroleum products from GST.

STUDY LINK

Polity -> GST Council -> Compensation | Economy -> GST Revenue Design

HIGH

7. Mohit Minerals (2022): Binding or Persuasive?

GS-II / GS-III
Polity - Case Law

NEWS TRIGGER

The Supreme Court's Mohit Minerals ruling remains the leading precedent on whether GST Council recommendations bind the Centre or the states.

INTRO & ORIGIN

In Mohit Minerals (SC, 2022), the Court held that GST Council recommendations are only persuasive, not binding, on the Centre or the states - both retain simultaneous power to tax.

This is a landmark ruling on fiscal federalism and states' autonomy within the GST framework.

ARE GST COUNCIL RECOMMENDATIONS BINDING?

Mohit Minerals (SC, 2022)

- **SC's Ruling** — Recommendations are only persuasive, not binding
- **Simultaneous Power** — Centre and states both retain independent power to tax
- **Federalism Reading** — Cooperative, not coercive, federalism underlies GST design
- **Practical Effect** — States/Centre conventionally follow Council recommendations regardless

STATIC THEORY

• Mohit Minerals confirms that Article 279-A creates a recommendatory, not command, body - consistent with the GST Council's textual design.

• Because both the Centre and states retain simultaneous taxing power, GST's practical uniformity depends on convention and cooperation, not legal compulsion.

• This ruling is frequently paired with the basic-structure argument that fiscal federalism cannot be reduced to unilateral Union control.

MEMORY HOOK

MOHIT MINERALS (2022) = GST COUNCIL RECOMMENDATIONS ARE PERSUASIVE, NOT BINDING

MUST-KNOW FACTS

1. Mohit Minerals (2022) is a Supreme Court ruling on the binding nature of GST Council recommendations.

2. The Court held that these recommendations are persuasive, not binding.

3. Both the Centre and states retain simultaneous power to levy tax under the GST framework.

UPSC TRAPS

WRONG: GST Council recommendations are legally binding, per the Mohit Minerals ruling.

CORRECT: The Court held they are only persuasive/recommendatory, not binding.

WRONG: Only the Centre retains the power to tax after GST; states lost this power.

CORRECT: Both the Centre and the states retain simultaneous power to tax under the GST design confirmed in Mohit Minerals.

MAINS ANGLE

'The GST Council is a laboratory of cooperative federalism.' Examine, using the Council's voting design and the Mohit Minerals (2022) ruling on the non-binding nature of its recommendations.

STUDY LINK

Polity -> GST Council -> Case Law | Polity -> Cooperative Federalism

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HIGH

8. GST 2.0 (2025): Rate Rationalisation

GS-II / GS-III
Polity - Current Affairs

NEWS TRIGGER

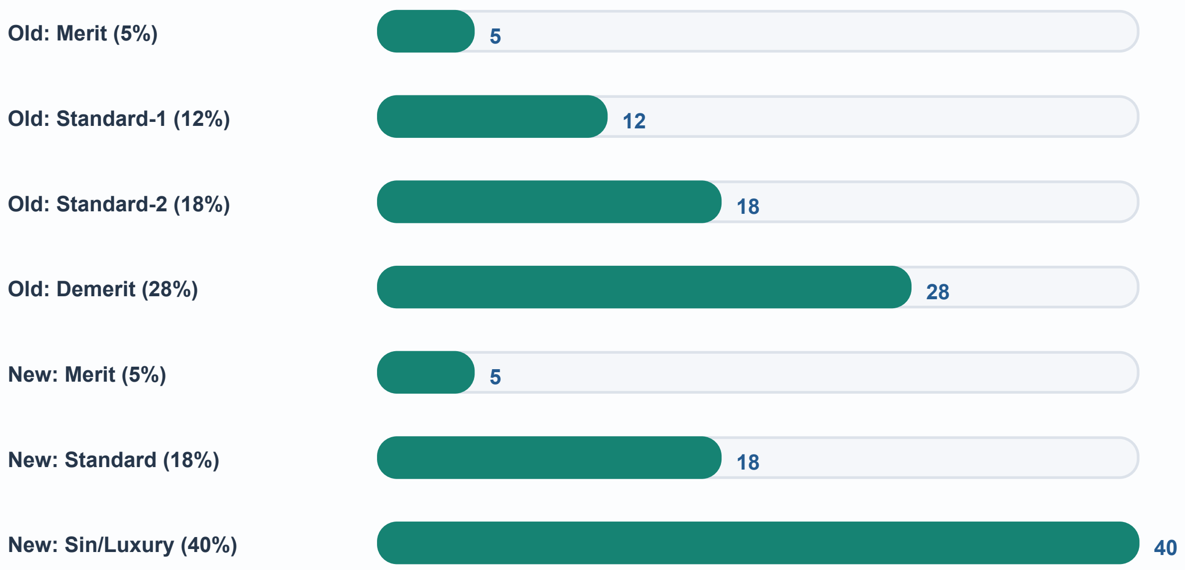
GST 2.0, effective 22 September 2025, is the most significant rate overhaul since GST's 2017 launch.

INTRO & ORIGIN

At its 56th meeting, the GST Council rationalised the old four-slab structure (5/12/18/28%) into two main slabs - 5% (merit) and 18% (standard) - plus a 40% 'sin/luxury' rate.

Individual health and life insurance were made fully exempt under GST 2.0.

GST SLAB STRUCTURE: BEFORE VS AFTER GST 2.0



GST 2.0 collapses four slabs into two, plus a new 40% sin/luxury rate.

KEY DATA

Feature	GST 2.0 Position
Effective date	22 September 2025 (56th GST Council meeting)
Old structure	Four slabs: 5%, 12%, 18%, 28%
New main slabs	5% (merit) and 18% (standard)
New special rate	40% 'sin/luxury' rate (tobacco, pan masala, aerated drinks, luxury vehicles)
Insurance	Individual health & life insurance fully exempt

STATIC THEORY

• Collapsing four slabs into two simplifies classification disputes, a long-standing GST compliance grievance.

• The 40% sin/luxury rate isolates demerit goods so that the two main slabs can remain simple and low.

• Exempting individual health and life insurance addresses affordability concerns flagged since GST's rollout.

MEMORY HOOK

GST 2.0 = 4 SLABS -> 2 SLABS (5%, 18%) + 40% SIN RATE; INSURANCE EXEMPT

MUST-KNOW FACTS

1. GST 2.0 became effective from 22 September 2025.

2. The old four-slab structure (5/12/18/28%) was rationalised into two main slabs: 5% and 18%.

3. A new 40% sin/luxury rate applies to tobacco, pan masala, aerated drinks and luxury vehicles.

4. Individual health and life insurance are now fully exempt from GST.

UPSC TRAPS

WRONG: GST 2.0 retained all four original slabs.

CORRECT: It rationalised them into two main slabs (5% and 18%) plus a new 40% sin/luxury rate.

WRONG: GST 2.0 kept tax on individual health and life insurance unchanged.

CORRECT: It made individual health and life insurance fully exempt.

MAINS ANGLE

GST 2.0's rate rationalisation: examine the trade-off between simplification of the tax structure and the revenue implications for the Centre and states.

STUDY LINK

Current Affairs -> GST 2.0 | Economy -> Indirect Tax Reform

HIGH

9. UPSC Analysis and Answer-Writing Framework

GS-II Mains
Polity - Answer Writing

NEWS TRIGGER

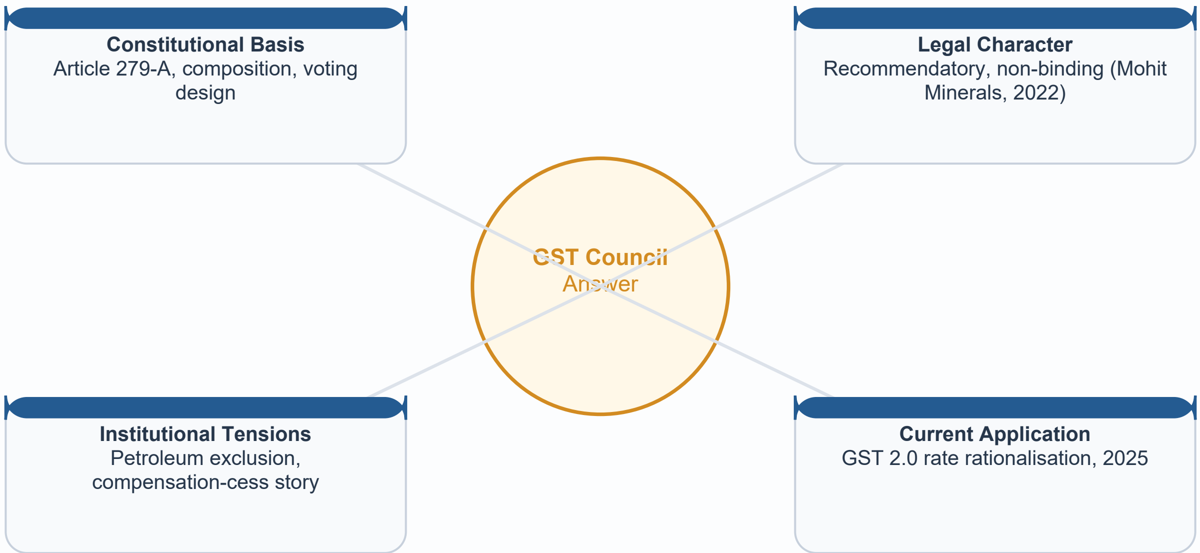
GST design questions - voting maths, case law, rate reform - are recurring GS-II/III themes tying constitutional design to economic policy.

INTRO & ORIGIN

A strong answer on the GST Council connects its constitutional design (Article 279-A, weighted voting) to its practical, non-binding character (Mohit Minerals) and to live reform (GST 2.0).

The examiner rewards a thesis: the GST Council as a genuinely federal, consensus-driven forum whose formal non-bindingness is offset by strong convention and shared interest in a uniform tax.

HOW TO ANSWER GST COUNCIL QUESTIONS



KEY DATA

Answer Section	What to Write
Introduction	Article 279-A, cooperative-federalism framing
Body - design	Composition, quorum, 3/4 weighted-majority, 1/3-2/3 vote split
Body - legal character	Mohit Minerals (2022) - persuasive, not binding
Body - live tensions	Petroleum exclusion, end of compensation (2022), GST 2.0 (2025)
Conclusion	Council as a durable cooperative-federalism forum, not a command body

THE FOUR-STEP ANALYTICAL METHOD

1. State the constitutional design
Article 279-A, composition, weighted voting

↓

2. Explain the legal character
Recommendatory only, per Mohit Minerals (2022)

↓

3. Identify institutional tensions
Petroleum exclusion; compensation-cess repurposing

↓

4. Apply to current reform
GST 2.0's rate rationalisation and its trade-offs

STATIC THEORY

• Do not treat 'binding vs advisory' as a trivial fact - use Mohit Minerals to argue why cooperative federalism can work without formal bindingness.

• Link petroleum exclusion and the compensation story to show that GST design is a continuing negotiation, not a settled 2017 event.

• Close with a judgement on whether GST 2.0's simplification strengthens or weakens states' fiscal autonomy.

MEMORY HOOK

DESIGN -> LEGAL CHARACTER -> INSTITUTIONAL TENSIONS -> CURRENT REFORM

MUST-KNOW FACTS

1. Article 279-A is the constitutional basis for the GST Council.

2. Mohit Minerals (2022) held that Council recommendations are persuasive, not binding.

3. GST 2.0 (effective 22 September 2025) rationalised GST into two main slabs plus a 40% sin/luxury rate.

UPSC TRAPS

WRONG: Describe GST 2.0 without linking it to the Council's constitutional voting design.

CORRECT: Show how the 3/4 weighted-majority rule made a consensus rate overhaul like GST 2.0 possible.

WRONG: Treat 'persuasive, not binding' as a weakness of the Council.

CORRECT: Frame it as a design choice consistent with cooperative, not coercive, federalism.

PROBABLE UPSC APPLICATIONS

Question Theme	Core Argument	Illustration
Laboratory of cooperative federalism	Weighted voting prevents unilateral control by either side	1/3 Centre - 2/3 states split
Binding vs persuasive	Recommendatory character upheld by courts	Mohit Minerals (2022)
Petroleum under GST	Fiscal-federal trade-off in inclusion decision	Crude, diesel, petrol, natural gas, ATF outside GST
GST 2.0 rate reform	Simplification vs states' revenue autonomy	Four slabs to two slabs + 40% sin rate

MAINS ANGLE

Model thesis: The GST Council is a constitutionally designed cooperative-federalism forum whose formally non-binding character - confirmed in Mohit Minerals (2022) - has not prevented major consensus reforms such as GST 2.0, though live tensions over petroleum exclusion and compensation persist. (No verified specific PYQ citation for this exact question is available in the knowledge base; treat the Mohit Minerals ruling and the Council's voting design as the most probable Prelims/Mains anchor - □□ inference, not a fabricated question reference.)

STUDY LINK

GS-II -> Cooperative Federalism -> GST Council | Economy -> GST Reform

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End of Register Notes — UPSC Agent / Copilot CLI